

<sup>2</sup> Any condition whereby the bidder is bound to maintain his bid after the auction is void, other than in the case of compulsory auctions or sales of land or buildings that require official approval.

#### **Art. 233**

IV. Cash payment

<sup>1</sup> The successful bidder must pay in cash unless the auction terms and conditions provide otherwise.

<sup>2</sup> The seller may immediately withdraw from the transaction if payment is not tendered in cash or in accordance with the auction terms and conditions.

#### **Art. 234**

V. Warranty

<sup>1</sup> Sale at compulsory auction is without warranty, apart from special assurances given or where the bidders are intentionally deceived.

<sup>2</sup> The successful bidder acquires the object in the condition and with the attendant rights and encumbrances indicated in the public registers or the lot description and/or those that exist by operation of law.

<sup>3</sup> In sales at voluntary public auction, the seller has the same liability as in any other sale, but in the lot description he may disclaim any warranty obligation with the exception of liability for intentional deceit.

#### **Art. 235**

VI. Transfer of ownership

<sup>1</sup> The successful bidder for a chattel acquires title to it as soon as it is knocked down to him, whereas ownership of immovable property is not transferred until the entry is made in the land register.

<sup>2</sup> The official auctioneers immediately notify the land registry of the sale at auction by reference to the formal auction record.

<sup>3</sup> The provisions governing acquisition of ownership at compulsory auction are reserved.

#### **Art. 236**

VII. Cantonal provisions

The cantons may enact other provisions governing sale at public auction within the bounds of federal law.

### **Section Five: The Contract of Exchange**

#### **Art. 237**

A. Reference to provisions governing purchase

The rules governing contracts of sale also apply to contracts of exchange in the sense that each party to the exchange is treated as seller in respect

of the object promised by him and as buyer in respect of the object promised to him.

### Art. 238

B. Warranty

A party to the exchange who is dispossessed of the object received or has returned it as defective may either claim for damages or for the return of the object that he delivered.

## Title Seven: The Gift

### Art. 239

A. Definition

<sup>1</sup> A gift is any inter vivos disposition in which a person uses his assets to enrich another without receiving an equivalent consideration.

<sup>2</sup> Waiving a right before having acquired it or renouncing an inheritance does not constitute a gift.

<sup>3</sup> The performance of a moral duty is not considered to be a gift.

### Art. 240

B. Personal capacity  
I. Of the donor

<sup>1</sup> A person with capacity to act may make gifts of his assets within the bounds imposed by matrimonial property law and inheritance law.

<sup>2</sup> The assets of a person who lacks capacity to act may be used only to make customary occasional gifts. The liability of the legal representative is reserved.<sup>94</sup>

<sup>3</sup> ...<sup>95</sup>

### Art. 241

II. Of the recipient

<sup>1</sup> A person who lacks capacity to act may accept and legally acquire title to a gift provided he has capacity to consent.

<sup>2</sup> However, the gift is not acquired or is annulled where his legal representative forbids him to accept it or instructs him to return it.

### Art. 242

C. Establishing the gift  
I. From hand to hand

<sup>1</sup> A gift from hand to hand is made when the donor presents the object to the recipient.

<sup>94</sup> Amended by Annex No 10 of the FA of 19 Dec. 2008 (Adult Protection, Law of Persons and Law of Children), in force since 1 Jan. 2013 (AS **2011** 725; BBl **2006** 7001).

<sup>95</sup> Repealed by Annex No 10 of the FA of 19 Dec. 2008 (Adult Protection, Law of Persons and Law of Children), with effect from 1 Jan. 2013 (AS **2011** 725; BBl **2006** 7001).

<sup>2</sup> Gifts of title or rights in rem to immovable property are not effective until an entry is made in the land register.

<sup>3</sup> The entry presupposes a valid promise to give.

#### **Art. 243**

II. Promise of a gift

<sup>1</sup> The promise of a gift is valid only if done in writing.

<sup>2</sup> A promise to give title or rights in rem to immovable property is valid only if done as a public deed.

<sup>3</sup> On fulfilment of the promise to give, the relationship is treated as a gift from hand to hand.

#### **Art. 244**

III. Effect of acceptance

A person who bestows an object on another person by way of a gift may reverse the bestowal at any time before the recipient has accepted it, even where he has effectively separated it from his assets.

#### **Art. 245**

D. Conditions and provisos  
I. In general

<sup>1</sup> Conditions or provisos may be attached to a gift.

<sup>2</sup> A gift whose occurrence is made contingent on the donor's death is subject to the provisions governing testamentary dispositions.

#### **Art. 246**

II. Fulfilment of provisos

<sup>1</sup> The donor may bring action for fulfilment of a proviso that has been accepted by the recipient.

<sup>2</sup> Where fulfilment of the proviso is in the public interest, the competent authority may compel fulfilment after the death of the donor.

<sup>3</sup> The recipient may refuse to fulfil the proviso if the value of the gift does not cover the expenses occasioned by the proviso and he is not reimbursed for the shortfall.

#### **Art. 247**

III. Reversion clause

<sup>1</sup> The donor may provide that the object given shall revert to him in the event that the recipient dies before he does.

<sup>2</sup> A reversionary right attached to a gift of title or rights in rem to immovable property may be entered under priority notice in the land register.

#### **Art. 248**

E. Liability of the donor

<sup>1</sup> The donor is liable for damage caused by the gift to the recipient only in the event of wilful injury or gross negligence.

<sup>2</sup> He need give only such warranty as he has promised in respect of the object given or the claim assigned.

### Art. 249

F. Annulment of gifts  
I. Claim for return of gift

Where a gift has been made from hand to hand or a promise to give has been fulfilled, the donor may revoke the gift and claim return of the object given, provided the recipient is still enriched thereby:

- 1.<sup>96</sup> if the recipient has committed a serious criminal offence against the donor or a person close to him;
2. if the recipient has grossly neglected his duties under family law towards the donor or any of the latter's dependants;
3. if the recipient has failed without good cause to fulfil the provisos attached to the gift.

### Art. 250

II. Revocation and invalidation of a promise to give

<sup>1</sup> The donor who has made a promise to give may revoke the promise and refuse to fulfil it:

1. on the same grounds as justify a claim for return of the object given in the case of a gift from hand to hand;
2. where since the promise was made the donor's financial situation has altered to such an extent that making the gift would cause serious hardship;
3. where since the promise was made the donor has acquired duties under family law that previously did not exist or were significantly less onerous.

<sup>2</sup> All promises to give are annulled when a certificate of loss is issued against the donor or he is declared bankrupt.

### Art. 251

III. Prescription and heirs' right of action

<sup>1</sup> Revocation may take place at any time in the year commencing on the day on which the grounds for revocation came to the donor's attention.

<sup>2</sup> If the donor dies before the end of this one-year period, his right of action passes to his heirs for the remainder of the period.

<sup>3</sup> The donor's heirs may revoke the gift if the recipient wilfully and unlawfully caused the donor's death or prevented him from exercising his right of revocation.

<sup>96</sup> Amended by Annex No 2 to the FA of 26 June 1998, in force since 1 Jan. 2000 (AS 1999 1118; BBl 1996 I 1).

**Art. 252**

IV. Death of the donor

Unless otherwise provided, where the donor has undertaken to make periodic payments or performance, his obligation is extinguished on his death.

**Title Eight:<sup>97</sup> The Lease****Section One: General Provisions****Art. 253**

A. Definition and scope of application

Leases are contracts in which a landlord or lessor grants a tenant or lessee the use of an object in exchange for rent.

I. Definition

**Art. 253a**

II. Scope of application

<sup>1</sup> The provisions governing the leasing of residential and commercial premises are also applicable to objects on such premises of which the tenant has use.

1. Residential and commercial premises

<sup>2</sup> They are not applicable to holiday homes hired for three months or less.

<sup>3</sup> The Federal Council issues the provisions for implementation.

**Art. 253b**

2. Provisions on protection against unfair rents

<sup>1</sup> The provisions governing protection against unfair rents (Art. 269 et seq.) apply *mutatis mutandis* to non-agricultural leases and to other contracts whose essential purpose is to regulate the transfer of the use of residential or commercial premises against valuable consideration.

<sup>2</sup> They do not apply to the lease of luxury apartments and single-occupancy residential units with six or more bedrooms and reception rooms (not including the kitchen).

<sup>3</sup> The provisions governing challenges to unfair rents do not apply to residential premises made available with public sector support for which rent levels are set by a public authority.

**Art. 254**

B. Tie-in transactions

A tie-in transaction linked to a lease of residential or commercial premises is void where the conclusion or continuation of the lease is made conditional on such transaction and, under its terms, the tenant assumes

<sup>97</sup> Amended by No I of the FA of 15 Dec. 1989, in force since 1 July 1990 (AS 1990 802; BBl 1985 I 1369). See also the financial provisions of Titles VIII and VIII<sup>bis</sup> Art. 5, at the end of this Code.

an obligation towards the landlord or a third party which is not directly connected with the use of the leased premises.

### **Art. 255**

#### C. Duration

<sup>1</sup> Leases may be concluded for a limited or indefinite duration.

<sup>2</sup> Where the intention is that they should end without notice on expiry of the agreed duration, they have a limited duration.

<sup>3</sup> Other leases are deemed to be of indefinite duration.

### **Art. 256**

#### D. Obligations of the landlord I. In general

<sup>1</sup> The landlord or lessor is required to make the object available on the agreed date in a condition fit for its designated use and to maintain it in that condition.

<sup>2</sup> Clauses to the contrary to the detriment of the tenant or lessee are void if they are set out:

- a. in previously formulated general terms and conditions;
- b. in leases for residential or commercial premises.

### **Art. 256a**

#### II. Duty of disclosure

<sup>1</sup> If a report was drawn up on the return of the object at the end of the previous lease, the landlord or lessor must on request make this document available for perusal by the new tenant or lessee when the object is handed over to him.

<sup>2</sup> Similarly, the new tenant or lessee has the right to be informed of the amount of rent paid under the previous lease.

### **Art. 256b**

#### III. Charges and taxes

The landlord or lessor bears all taxes and charges in connection with the leased object.

### **Art. 257**

#### E. Obligations of the tenant or lessee I. Payment of rent and accessory charges 1. Rent

The rent is the consideration owed by the tenant or lessee to the landlord or lessor for the transfer of the use of the object.

**Art. 257a**

2. Accessory charges  
a. In general

<sup>1</sup> Accessory charges are the consideration due for services provided by the landlord or lessor or a third party in connection with the use of the property.

<sup>2</sup> They are payable by the tenant or lessee only where this has been specifically agreed with the landlord or lessor.

**Art. 257b**

b. Residential and commercial premises

<sup>1</sup> Accessory charges for residential and commercial premises are the actual outlays made by the landlord for services connected with the use of the property, such as heating, hot water and other operating costs, as well as public taxes arising from the use of the property.

<sup>2</sup> The landlord must allow the tenant on his request to inspect the documentation for such outlays.

**Art. 257c**

3. Payment deadlines

The tenant or lessee must pay the rent and, where applicable, the accessory charges at the end of each month and at the latest on expiry of the lease, unless otherwise agreed or required by local custom.

**Art. 257d**

4. Tenant in arrears

<sup>1</sup> Where, having accepted the property, the tenant or lessee is in arrears with payments of rent or accessory charges, the landlord or lessor may set a time limit for payment and notify him that in the event of non-payment the landlord or lessor will terminate the lease on expiry of that time limit. The minimum time limit is ten days, and 30 days for leases of residential or commercial premises.

<sup>2</sup> In the event of non-payment within the time limit the landlord or lessor may terminate the contract with immediate effect or, for leases of residential and commercial premises, subject to at least 30 days' notice ending on the last day of a calendar month.

**Art. 257e**

II. Security furnished by the tenant

<sup>1</sup> Where the tenant of residential or commercial premises furnishes security in the form of cash or negotiable securities, the landlord must deposit it in a bank savings or deposit account in the tenant's name.

<sup>2</sup> In residential leases, the landlord is not entitled to ask for more than three months' rent by way of security.

<sup>3</sup> The bank may release such security only with the consent of both parties or in compliance with a final payment order or final decision of the court. On expiry of one year following the end of the lease, the tenant

or lessee may request that the security be returned to him by the bank if no claim has been brought against him by the landlord or lessor.

<sup>4</sup> The cantons may enact further provisions.

### **Art. 257f**

III. Care and consideration

<sup>1</sup> The tenant or lessee must use the object with all due care.

<sup>2</sup> Where the lease relates to immovable property, the tenant must show due consideration for others who share the building and for neighbours.

<sup>3</sup> If, despite written warning from the landlord or lessor, the tenant or lessee continues to act in breach of his duty of care and consideration such that continuation of the lease becomes unconscionable for the landlord or lessor or other persons sharing the building, the landlord or lessor may terminate the contract with immediate effect or, for leases of residential and commercial premises, subject to at least 30 days' notice ending on the last day of a calendar month.

<sup>4</sup> However, leases of residential and commercial premises may be terminated with immediate effect if the tenant intentionally causes serious damage to the property.

### **Art. 257g**

IV. Duty of notification

<sup>1</sup> On learning of defects which he himself is not obliged to remedy, the tenant or lessee must inform the landlord or lessor.

<sup>2</sup> Failure to notify renders the tenant or lessee liable for any damage incurred by the landlord or lessor as a result.

### **Art. 257h**

V. Duty of tolerance

<sup>1</sup> The tenant or lessee must tolerate works intended to remedy defects in the object or to repair or prevent damage.

<sup>2</sup> The tenant or lessee must permit the landlord or lessor to inspect the object to the extent required for maintenance, sale or future leasing.

<sup>3</sup> The landlord or lessor must inform the tenant or lessee of works and inspections in good time and take all due account of the latter's interests when they are carried out; all claims of the tenant or lessee for reduction of the rent (Art. 259d) and for damages (Art. 259e) are reserved.

### **Art. 258**

F. Non-performance or defective performance when object handed over

<sup>1</sup> Where the landlord or lessor fails to hand over the property on the agreed date or hands it over with defects rendering it wholly or partly unfit for its designated use, the tenant or lessee may sue for non-performance of contractual obligations pursuant to Articles 107–109 above.



<sup>2</sup> Where the tenant or lessee accepts the object despite such defects but insists that the contract be duly performed, he may make only such claims as would have accrued to him had the defects arisen during the lease (Art. 259a–259i).

<sup>3</sup> The tenant or lessee may bring the claims pursuant to Articles 259a–259i below even if, when handed over to him, the object has defects:

- a. which render the object less fit for its designated use, albeit not substantially so;
- b. which the tenant or lessee would have to remedy at his own expense during the lease (Art. 259).

#### **Art. 259**

G. Defects during the contract  
I. Obligation of tenant to carry out minor cleaning and repairs

The tenant or lessee must remedy defects which can be dealt with by minor cleaning or repairs as part of regular maintenance and, depending on local custom, must do so at his own expense.

#### **Art. 259a**

II. Rights of the tenant  
1. In general

<sup>1</sup> Where defects arise in the object which are not attributable to the tenant or lessee and which he is not obliged to remedy at his own expense, or where he is prevented from using the object as contractually agreed, he may require that the landlord or lessor:

- a. repair the object;
- b. reduce the rent proportionately;
- c. pay damages;
- d. assume responsibility for litigation against a third party.

<sup>2</sup> In addition, a tenant of immovable property may pay rent on deposit rather than to the landlord.

#### **Art. 259b**

2. Remedy of defects  
a. General principle

Where the landlord is aware of a defect and fails to remedy it within a reasonable time, the tenant may:

- a. terminate the contract with immediate effect if the defect renders the leased property unfit or significantly less fit for its designated use or renders a chattel less fit for purpose;
- b. arrange for the defect to be remedied at the landlord's or lessor's expense if it renders the object less fit for its designated use, albeit not substantially so.

**Art. 259c**

- b. Exception      The tenant or lessee is not entitled to rectification of the defect where the landlord or lessor provides full compensation for the defective object within a reasonable time.

**Art. 259d**

3. Reduction of rent      Where the object is rendered unfit or less fit for its designated use, the tenant or lessee may require the landlord or lessor to reduce the rent proportionately from the time when the landlord or lessor became aware of the defect until the defect is remedied.

**Art. 259e**

4. Damages      Where the defect has caused damage to the tenant or lessee, the landlord or lessor is liable in damages unless he can prove that he was not at fault.

**Art. 259f**

5. Assumption of litigation      Where a third party claims a right over the object that is incompatible with the rights of the tenant or lessee, on notification by the latter the landlord or lessor is obliged to assume responsibility for the litigation.

**Art. 259g**

6. Deposit of rent  
a. General principle      <sup>1</sup> A tenant of immovable property requesting that a defect be remedied must, in writing, set the landlord a reasonable time limit within which to comply with such request and may warn him that, in the event of failure to comply, on expiry of the time limit the tenant will deposit his future rent payments with an office designated by the canton. He must notify the landlord in writing of his intention to pay rent on deposit.  
<sup>2</sup> Rent paid on deposit is deemed duly paid.

**Art. 259h**

- b. Release of deposited rent      <sup>1</sup> The landlord becomes entitled to the rent paid on deposit if the tenant or lessee does not bring claims against him before the conciliation authority within 30 days of the due date for the first rent payment paid into deposit.  
<sup>2</sup> On being notified by the tenant that he intends to pay rent on deposit as it falls due, the landlord may apply to the conciliation authority for release of rent unjustly paid on deposit.

**Art. 259<sup>98</sup>**

c. Procedure

The procedure is governed by the CPO<sup>99</sup>.

**Art. 260**

H. Renovations and modifications

I. By the landlord

<sup>1</sup> The landlord or lessor may renovate or modify the object only where conscionable for the tenant or lessee and the lease has not been terminated.

<sup>2</sup> In carrying out such works, the landlord or lessor must give due consideration to the tenant or lessee's interests; all claims of the tenant or lessee for reduction of the rent (Art. 259*d*) and for damages (Art. 259*e*) are reserved.

**Art. 260a**

II. By the tenant

<sup>1</sup> The tenant or lessee may renovate or modify the object only with the written consent of the landlord or lessor.

<sup>2</sup> Once such consent has been given, the landlord or lessor may require the restoration of the object to its previous condition only if this has been agreed in writing.

<sup>3</sup> Where at the end of the lease the object has appreciated significantly in value as a result of renovations or modifications to which the landlord or lessor consented, the tenant or lessee may claim appropriate compensation for such appreciation, subject to any written agreements providing for higher levels of compensation.

**Art. 261**

J. Change of ownership

I. Alienation of the object

<sup>1</sup> Where after concluding the contract the landlord alienates the object or is dispossessed of it in debt collection or bankruptcy proceedings, the lease passes to the acquirer together with ownership of the object.

<sup>2</sup> However, the new owner may:

- a. serve notice to terminate a lease on residential or commercial premises as of the next legally admissible termination date if he claims an urgent need of such premises for himself, his close relatives or in-laws;
- b. serve notice to terminate a rental agreement in respect of other objects as of the next legally admissible termination date unless the contract allows for earlier termination.

<sup>98</sup> Amended by Annex 1 No II 5 of the Civil Procedure Code of 19 Dec. 2008, in force since 1 Jan. 2011 (AS **2010** 1739; BBl **2006** 7221).

<sup>99</sup> SR **272**

<sup>3</sup> If the new owner terminates sooner than is permitted under the contract with the existing landlord or lessor, the latter is liable for all resultant losses.

<sup>4</sup> The provisions governing compulsory purchase are unaffected.

#### **Art. 261a**

II. Conferral of limited rights in rem

Where the landlord or lessor grants a third party a limited right in rem and this is tantamount to a change of ownership, the provisions governing alienation of the object apply *mutatis mutandis*.

#### **Art. 261b**

III. Entry under priority notice in the land register

<sup>1</sup> The parties to a lease may agree to have it entered under priority notice in the land register.

<sup>2</sup> The effect of such entry is that every future owner must allow the property to be used in accordance with the lease.

#### **Art. 262**

K. Sub-letting

<sup>1</sup> A tenant may sub-let all or part of the property with the landlord's consent.

<sup>2</sup> The landlord may refuse his consent only if:

- a. the tenant refuses to inform him of the terms of the sub-lease;
- b. the terms and conditions of the sub-lease are unfair in comparison with those of the principal lease;
- c. the sub-letting gives rise to major disadvantages for the landlord.

<sup>3</sup> The tenant is liable to the landlord for ensuring that the sub-tenant uses the property only in the manner permitted to the tenant himself. To this end the landlord may issue reminders directly to the sub-tenant.

#### **Art. 263**

L. Transfer of lease to a third party

<sup>1</sup> The tenant of commercial premises may transfer his lease to a third party with the landlord's written consent.

<sup>2</sup> The landlord may withhold consent only for good cause.

<sup>3</sup> Once the landlord gives his consent, the third party is subrogated to the rights and obligations of the tenant under the lease.

<sup>4</sup> The tenant is released from his obligations towards the landlord. However, he remains jointly and severally liable with the third party until such time as the lease ends or may be terminated under the contract or by law, but in any event for no more than two years.

**Art. 264**

M. Early return  
of the object

<sup>1</sup> Where the tenant or lessee returns the object without observing the notice period or the deadline for termination, he is released from his obligations towards the landlord or lessor only if he proposes a new tenant or lessee who is acceptable to the landlord or lessor, solvent and willing to take on the lease or rental agreement under the same terms and conditions.

<sup>2</sup> Otherwise, the tenant or lessee must continue to pay the rent until such time as the lease ends or may be terminated under the contract or by law.

<sup>3</sup> Against the rent owing to him, the landlord or lessor must permit account to be taken of:

- a. any expenses he has saved, and
- b. any earnings which he has obtained, or intentionally failed to obtain, from putting the object to some other use.

**Art. 265**

N. Set-off

The landlord or lessor and the tenant or lessee may not waive in advance their right to set off claims arising from the lease.

**Art. 266**

O. End of lease  
I. Expiry of  
agreed duration

<sup>1</sup> Where the parties have expressly or tacitly agreed to a limited duration, the lease comes to an end on expiry thereof without any need for notice to be given.

<sup>2</sup> If the lease is tacitly continued, its duration becomes indefinite.

**Art. 266a**

II. Notice of termination and termination dates  
1. In general

<sup>1</sup> The parties may give notice to terminate a lease of indefinite duration by observing the legally prescribed notice periods and termination dates, except where they have agreed a longer notice period or a different termination date.

<sup>2</sup> Where the prescribed notice period or termination date is not observed, termination will be effective as of the next termination date.

**Art. 266b**

2. Immovable  
and movable  
structures

A party may terminate a lease of immovable property or a movable structure by giving three months' notice expiring on a date fixed by local custom or, in the absence of such custom, at the end of a six-month period of the lease.

**Art. 266c**

3. Residential premises

A party may terminate a lease of residential premises by giving three months' notice expiring on a date fixed by local custom or, in the absence of such custom, at the end of a three-month period of the lease.

**Art. 266d**

4. Commercial premises

A party may terminate the lease of a commercial property by giving six months' notice expiring on a date fixed by local custom or, in the absence of such custom, at the end of a three-month period of the lease.

**Art. 266e**

5. Furnished rooms and parking spaces

A party may terminate the lease of furnished rooms, a separately rented parking space or other comparable facility by giving two weeks' notice expiring at the end of a one-month period of the lease.

**Art. 266f**

6. Chattels

A party may terminate a lease of chattels by giving three days' notice expiring at any time.

**Art. 266g**

III. Extraordinary notice  
1. Good cause

<sup>1</sup> Where performance of the contract becomes unconscionable for the parties for good cause, they may terminate the lease by giving the legally prescribed notice expiring at any time.

<sup>2</sup> The court determines the financial consequences of early termination, taking due account of all the circumstances.

**Art. 266h**

2. Bankruptcy of the tenant or lessee

<sup>1</sup> Where the tenant or lessee becomes bankrupt after taking possession of the property, the landlord or lessor may call for security for future rent payments. He must grant the tenant or lessee and the bankruptcy administrators an appropriate time limit in which to furnish it.

<sup>2</sup> Where no such security is furnished to the landlord or lessor, he may terminate the contract with immediate effect.

**Art. 266i**

3. Death of the tenant or lessee

In the event of the death of the tenant or lessee, his heirs may terminate the contract by giving the legally prescribed notice expiring on the next admissible termination date.

- Art. 266k**
4. Chattels      A lessee of a chattel hired for his own private use and leased to him on a commercial basis by the lessor may terminate the lease by giving at least 30 days' notice expiring at the end of a three-month period of the lease. The lessor has no claim for compensation.

- Art. 266l**
- IV. Required form of notice for residential and commercial premises
1. In general      <sup>1</sup> Notice to terminate leases of residential and commercial premises must be given in writing.
- <sup>2</sup> The landlord must give notice of termination using a form approved by the canton which informs the tenant how he must proceed if he wishes to contest the termination or apply for an extension of the lease.

- Art. 266m**
2. Family residence
- a. Notice given by the tenant      <sup>1</sup> Where the leased property serves as the family residence, one spouse may not terminate the lease without the express consent of the other.
- <sup>2</sup> If the spouse cannot obtain such consent or it is withheld without good cause, he or she may apply to the court.
- <sup>3</sup> The same provisions apply *mutatis mutandis* to registered partners.<sup>100</sup>

- Art. 266n<sup>101</sup>**
- b. Notice given by the landlord      Notice of termination given by the landlord and any notification of a time limit for payment accompanied by a warning of termination in the event of non-payment (Art. 257d) must be served separately on the tenant and on his spouse or registered partner.

- Art. 266o**
3. Void notice      Notice of termination is void if it does not conform to Articles 266l–266n.

- Art. 267**
- P. Return of the object
- I. In general      <sup>1</sup> At the end of the lease, the tenant or lessee must return the object in a condition that accords with its contractually designated use.
- <sup>2</sup> Any clause whereby the tenant or lessee undertakes to pay compensation on termination of the lease is void except insofar as such compensation relates to possible damage.

<sup>100</sup> Inserted by Annex No 11 to the Same-Sex Partnership Act of 18 June 2004, in force since 1 Jan. 2007 (AS **2005** 5685; BBl **2003** 1288).

<sup>101</sup> Amended by Annex No 11 to the Same-Sex Partnership Act of 18 June 2004, in force since 1 Jan. 2007 (AS **2005** 5685; BBl **2003** 1288).

**Art. 267a**

II. Inspection of  
object and notifi-  
cation of tenant  
or lessee

<sup>1</sup> When the object is returned, the landlord or lessor must inspect its condition and immediately inform the tenant or lessee of any defects for which he is answerable.

<sup>2</sup> If the landlord or lessor fails to do so, he forfeits his claims save in respect of defects not detectable on customary inspection.

<sup>3</sup> Where the landlord or lessor discovers such defects subsequently, he must inform the tenant or lessee immediately.

**Art. 268**

Q. Landlord's  
special lien  
I. Scope

<sup>1</sup> As security for rent for the past year and the current six-month period, a landlord of commercial premises has a special lien on chattels located on the leased premises and either used as fixtures or required for the use of the premises.

<sup>2</sup> The landlord's special lien also extends to property brought onto the premises by a sub-tenant to the extent that he has not paid his rent.

<sup>3</sup> Goods not subject to attachment by creditors of the tenant are not subject to the lien.

**Art. 268a**

II. Objects be-  
longing to third  
parties

<sup>1</sup> The rights of third parties to objects which the landlord knew or should have known do not belong to the tenant and to stolen, lost, missing or otherwise mislaid objects take precedence over the landlord's special lien.

<sup>2</sup> Where the landlord learns only during the lease that objects brought onto the premises by the tenant are not the latter's property, his lien on them is extinguished unless he terminates the lease as of the next admissible termination date.

**Art. 268b**

III. Exercise of  
lien

<sup>1</sup> Where the tenant wishes to vacate the premises or intends to remove the objects located thereon, the landlord may, with the assistance of the competent authority, retain such objects as are required to secure his claim.

<sup>2</sup> Items removed secretly or by force may, with police assistance, be brought back onto the premises within ten days of their removal.



**Section Two:  
Protection against Unfair Rents or other Unfair Claims by  
the Landlord in Respect of Leases of Residential and  
Commercial Premises**

**Art. 269**

A. Unfair rent  
I. General rule

Rents are unfair where they permit the landlord to derive excessive income from the leased property or where they are based on a clearly excessive sale price.

**Art. 269a**

II. Exceptions

In particular, rents are not generally held to be unfair if:

- a. they fall within the range of rents customary in the locality or district;
- b. they are justified by increases in costs or by additional services provided by the landlord;
- c. in the case of a recently constructed property, they do not exceed the range of gross pre-tax yield required to cover costs;
- d. they serve merely to balance out a rent decrease previously granted as part of a reallocation of funding costs at prevailing market rates and they are set out in a payment plan made known to the tenant in advance;
- e. they serve merely to balance out the inflation on the risk capital;
- f. they do not exceed the levels recommended in master agreements drawn up by landlords' and tenants' associations or organisations representing similar interests.

**Art. 269b**

B. Index-linked rent

An agreement to link rent to an index is valid only where the lease is contracted for at least five years and the benchmark is the Swiss consumer prices index.

**Art. 269c**

C. Periodical rent increases

An agreement to increase the rent periodically by fixed amounts is valid only where:

- a. the lease is contracted for at least three years;
- b. the rent is increased no more than once a year; and
- c. the amount by which it is increased is fixed in francs.

**Art. 269d**

D. Rent increases and other unilateral amendments by the landlord

<sup>1</sup> The landlord may at any time increase the rent with effect from the next termination date. He must give notice of and reasons for the rent increase at least ten days before the beginning of the notice period for termination using a form approved by the canton.

<sup>2</sup> The rent increase is void where:

- a. it is not communicated using the prescribed form;
- b. no reasons are given;
- c. notification of the increase is accompanied by notice to terminate or a threat of termination.

<sup>3</sup> Paragraphs 1 and 2 also apply where the landlord intends to make other unilateral amendments to the lease to the detriment of the tenant, for example by reducing the services provided or adding new accessory charges.

**Art. 270**

E. Challenge to rent  
I. Request for rent reduction  
1. Initial rent

<sup>1</sup> Within 30 days of taking possession of the property, the tenant may challenge the initial rent as unfair within the meaning of Articles 269 and 269a before the conciliation authority and request said authority to order a reduction of the rent:

- a. if the tenant felt compelled to conclude the lease agreement on account of personal or family hardship or by reason of the conditions prevailing on the local market for residential and commercial premises; or
- b. if the initial rent required by the landlord is significantly higher than the previous rent for the same property.

<sup>2</sup> In the event of a housing shortage, the cantons may make it obligatory in all or part of their territory to use the form stipulated in Article 269d when contracting any new lease.

**Art. 270a**

2. During the lease

<sup>1</sup> The tenant may challenge the rent as unfair and request its reduction as of the next termination date where he has good cause to suppose that, because of significant changes to the calculation basis and most notably a reduction in costs, the return derived by the landlord from the leased property is now excessive within the meaning of Articles 269 and 269a.

<sup>2</sup> The tenant must present his request for a rent reduction in writing to the landlord, who has 30 days in which to respond. Where the landlord does not accede to the request in full or in part or does not respond in good time, the tenant may apply to the conciliation authority within 30 days.

<sup>3</sup> Paragraph 2 does not apply if the tenant is simultaneously challenging a rent increase and requesting a rent reduction.

#### **Art. 270b**

II. Challenging rent increases and other unilateral amendments by the landlord

<sup>1</sup> Within 30 days of receiving notice of a rent increase, the tenant may challenge it before the conciliation authority as unfair within the meaning of Articles 269 and 269a.

<sup>2</sup> Paragraph 1 also applies where the landlord makes other unilateral amendments to the lease to the detriment of the tenant, in particular by reducing the services provided or adding new accessory charges.

#### **Art. 270c**

III. Challenging index-linked rent

Without prejudice to the right to challenge the initial rent, a party may argue before the conciliation authority only that the rent increase or reduction requested by the other party is not justified by a corresponding change in the index.

#### **Art. 270d**

IV. Challenging periodical rent increases

Without prejudice to the right to challenge the initial rent, the tenant may not challenge periodical rent increases.

#### **Art. 270e**

F. Continued validity of lease during challenge proceedings

The existing lease remains in force without change:

- a. during conciliation proceedings, where the parties fail to reach agreement;
- b. during court proceedings, subject to provisional measures ordered by the court.

### **Section Three: Protection against Termination of Leases of Residential and Commercial Premises**

#### **Art. 271**

A. Notice open to challenge  
I. In general

<sup>1</sup> Notice of termination may be challenged where it contravenes the principle of good faith.

<sup>2</sup> On request, reasons for giving notice must be stated.

**Art. 271a**

II. Notice served  
by the landlord

<sup>1</sup> Notice of termination served by the landlord may be challenged in particular where it is given:

- a. because the tenant is asserting claims arising under the lease in good faith;
- b. because the landlord wishes to impose a unilateral amendment of the lease to the tenant's detriment or to change the rent;
- c. for the sole purpose of inducing the tenant to purchase the leased premises;
- d. during conciliation or court proceedings in connection with the lease, unless the tenant initiated such proceedings in bad faith;
- e. within three years of the conclusion of conciliation or court proceedings in connection with the lease in which the landlord:
  1. was largely unsuccessful,
  2. withdrew or considerably reduced his claim or action,
  3. declined to bring the matter before the court,
  4. reached a settlement or some other compromise with the tenant;
- f. because of changes in the tenant's family circumstances which do not give rise to any significant disadvantage to the landlord.

<sup>2</sup> Paragraph 1 let. e. is also applicable where the tenant can produce documents showing that he reached a settlement with the landlord concerning a claim in connection with the lease outside conciliation or court proceedings.

<sup>3</sup> Paragraph 1 let. d. and e. are not applicable where notice of termination is given:

- a. because the landlord urgently needs the property for his own use or that of family members or in-laws;
- b. because the tenant is in default on his payments (Art. 257d);
- c. because the tenant is in serious breach of his duty of care and consideration (Art. 257f para. 3 and 4);
- d. as a result of alienation of the leased premises (Art. 261);
- e. for good cause (Art. 266g);
- f. because the tenant is bankrupt (Art. 266h).

**Art. 272**

B. Extension of  
the lease  
I. Tenant's entitle-  
ment

<sup>1</sup> The tenant may request the extension of a fixed-term or open-ended lease where termination of the lease would cause a degree of hardship for him or his family that cannot be justified by the interests of the landlord.

<sup>2</sup> When weighing the respective interests, the competent authority has particular regard to:

- a. the circumstances in which the lease was contracted and the terms of the lease;
- b. the duration of the lease;
- c. the personal, family and financial circumstances of the parties, as well as their conduct;
- d. any need that the landlord might have to use the premises for himself, his family members or his in-laws and the urgency of such need;
- e. the conditions prevailing on the local market for residential and commercial premises.

<sup>3</sup> Where the tenant requests a second extension, the competent authority must also consider whether the tenant has done everything that might reasonably be expected of him to mitigate the hardship caused by the notice of termination.

#### **Art. 272a**

II. Exclusion of extension

<sup>1</sup> No extension is granted where notice of termination is given:

- a. because the tenant is in default on his payments (Art. 257d);
- b. because the tenant is in serious breach of his duty of care and consideration (Art. 257f para. 3 and 4);
- c. because the tenant is bankrupt (Art. 266h);
- d. in respect of a lease expressly concluded for a limited period until refurbishment or demolition works begin or the requisite planning permission is obtained.

<sup>2</sup> As a general rule, no extension is granted where the landlord offers the tenant equivalent residential or commercial premises.

#### **Art. 272b**

III. Length of extension

<sup>1</sup> A lease may be extended by up to four years in the case of residential premises and by up to six years for commercial premises. Within these overall limits, one or two extensions may be granted.

<sup>2</sup> Where the parties agree to an extension of the lease, they are not bound by a maximum duration and the tenant may waive a second extension.

#### **Art. 272c**

IV. Continued validity of lease

<sup>1</sup> Either party may ask the court to modify the lease in line with changed circumstances when deciding on the lease extension.

<sup>2</sup> Where the lease is not varied in the decision on the lease extension, it remains in force during the extension period, subject to other means of variation envisaged by law.

#### **Art. 272d**

V. Notice given during extension

Unless the decision on extension or the extension agreement stipulates otherwise, the tenant may terminate the lease:

- a. by giving one month's notice expiring at the end of a calendar month in cases where the extension does not exceed one year;
- b. by giving three months' notice expiring on an admissible termination date in cases where the extension exceeds one year.

#### **Art. 273**

C. Time limits and procedure<sup>102</sup>

<sup>1</sup> A party wishing to challenge termination must bring the matter before the conciliation authority within 30 days of receiving the notice of termination.

<sup>2</sup> A tenant wishing to apply for a lease extension must submit his request to the conciliation authority:

- a. within 30 days of receiving the notice of termination, where the lease is open-ended;
- b. not later than 60 days before expiry of the lease, where it is of limited duration.

<sup>3</sup> A tenant requesting a second extension must submit his request to the conciliation authority not later than 60 days before expiry of the first extension.

<sup>4</sup> The procedure before the conciliation authority is governed by the CPO<sup>103, 104</sup>

<sup>5</sup> Where the competent authority rejects a request made by the tenant relating to challenging termination, it must examine ex officio whether the lease may be extended.<sup>105</sup>

#### **Art. 273a**

D. Family residence

<sup>1</sup> Where the leased property serves as the family residence, the tenant's spouse is likewise entitled to challenge the termination, request a lease

<sup>102</sup> Amended by Annex 1 No II 5 of the Civil Procedure Code of 19 Dec. 2008, in force since 1 Jan. 2011 (AS **2010** 1739; BBl **2006** 7221).

<sup>103</sup> SR **272**

<sup>104</sup> Amended by Annex 1 No II 5 of the Civil Procedure Code of 19 Dec. 2008, in force since 1 Jan. 2011 (AS **2010** 1739; BBl **2006** 7221).

<sup>105</sup> Amended by Annex 1 No II 5 of the Civil Procedure Code of 19 Dec. 2008, in force since 1 Jan. 2011 (AS **2010** 1739; BBl **2006** 7221).

extension and exercise the other rights accruing to the tenant in the event that notice of termination is served.

<sup>2</sup> Agreements providing for an extension of the lease are valid only if concluded with both spouses.

<sup>3</sup> The same provisions apply *mutatis mutandis* to registered partners.<sup>106</sup>

#### **Art. 273b**

E. Sub-letting

<sup>1</sup> The provisions of this Chapter apply to sub-leases provided the principal lease has not been terminated. A sub-lease may be extended only within the duration of the principal lease.

<sup>2</sup> Where the main purpose of the sub-lease is to circumvent the provisions governing protection against termination, the sub-tenant is granted such protection without regard to the principal lease. If the principal lease is terminated, the landlord is subrogated to the rights of the tenant in his contract with the sub-tenant.

#### **Art. 273c**

F. Mandatory provisions

<sup>1</sup> The tenant may waive the rights conferred on him by the provisions of this Chapter only where this is expressly envisaged.

<sup>2</sup> All agreements to the contrary are void.

### **Section Four: ...**

#### **Art. 274–274g<sup>107</sup>**

### **Title Eight<sup>bis</sup>:<sup>108</sup> The Usufructuary Lease**

#### **Art. 275**

A. Definition and scope of application

I. Definition

The usufructuary lease is a contract whereby the lessor undertakes to grant the lessee the use of a productive object or right and the benefit of its fruits or proceeds in exchange for rent.

<sup>106</sup> Inserted by Annex No 11 to the Same-Sex Partnership Act of 18 June 2004, in force since 1 Jan. 2007 (AS **2005** 5685; BBl **2003** 1288).

<sup>107</sup> Repealed by Annex 1 No II 5 of the Civil Procedure Code of 19 Dec. 2008, with effect from 1 Jan. 2011 (AS **2010** 1739; BBl **2006** 7221).

<sup>108</sup> Inserted by No I of the FA of 15 Dec. 1989, in force since 1 July 1990 (AS **1990** 802; BBl **1985** I 1369). See also the Final Provisions of Titles VIII and VIII<sup>bis</sup> Art. 5 at the end of this Code.